LuxeCart

E-Commerce Performance Analysis

Strategic Diagnostic Report · 2022 – 2024

$7.07M	35,000	$201.92	94.6%
Total Revenue	Total Orders	Avg Order Value	Repeat Rate

Prepared by	Period	Markets	Tools
Sadi Jagdish Reddy Data Analyst	Jan 2022 – Oct 2024	US · UK · Canada · Australia	Python · SQL · Excel

Executive Summary

Key findings and performance overview

LuxeCart generated **$7,067,314** in total revenue across 35,000 orders between January 2022 and October 2024, serving 8,000 unique customers across the United States, United Kingdom, Canada, and Australia. The business is growing — but this report identifies structural risks beneath the headline numbers that, if left unaddressed, will create a ceiling on profitable growth.

The most striking finding is a **94.6% repeat purchase rate** — a world-class loyalty metric that nearly every high-performing DTC brand would pay significant acquisition cost to achieve. LuxeCart has it organically and is doing almost nothing structured to monetize it. At the same time, **34.8% of all orders carry a discount** — meaning the business is simultaneously sitting on exceptional loyalty and undermining its own full-price revenue. These two findings together represent the central strategic tension this report addresses.

The **4.0% overall return rate** is healthy relative to fashion industry benchmarks of 8-12%, but is not uniform across categories. Bags — the highest revenue category — return at 12%, three times the brand average, and this concentrated return problem is quietly eroding margins in the business's most important product line. The sections that follow diagnose each area in detail and close with eight prioritized recommendations ranked by revenue impact.

Total Revenue	Total Orders	Avg Order Value	Repeat Rate
$7,067,314	35,000	$201.92	94.6%

Return Rate	Discounted Orders	Total Returns	Total Discounts
4.0%	34.8%	2,369	$436,634

Revenue Performance

Monthly trends, annual growth and market distribution

Monthly Revenue Trend

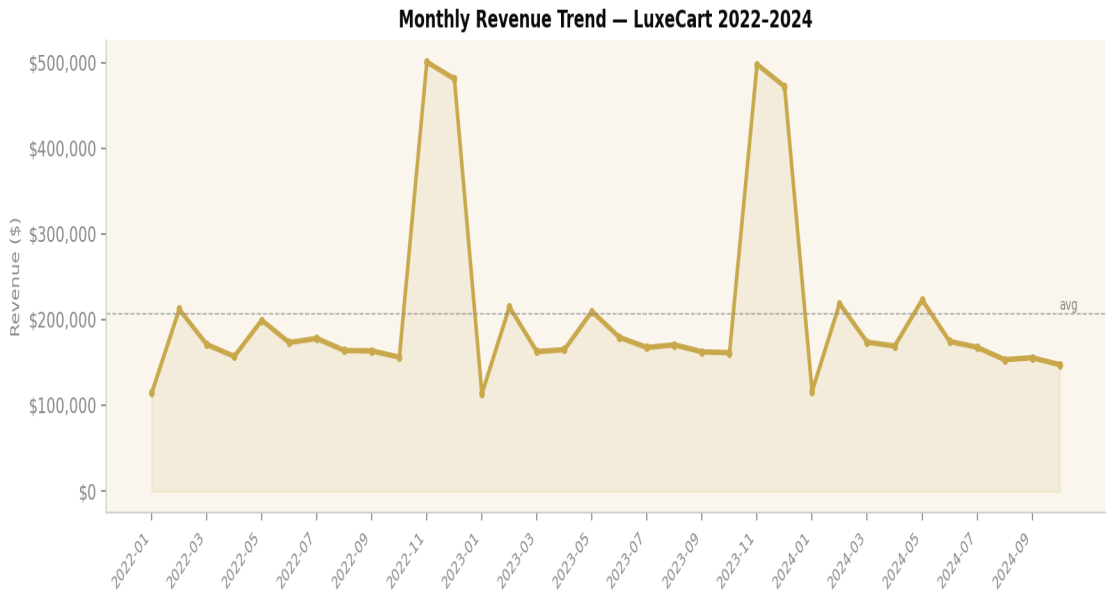

Figure 2.1 — Monthly Revenue Trend Jan 2022 – Oct 2024

Looking at the monthly revenue curve from January 2022 through October 2024, three things stand out immediately. First, the business is growing — each year's baseline is higher than the last. Second, the November-December spike is dramatic and consistent — Black Friday and the holiday gifting season reliably produce 2.5 to 3 times normal monthly revenue, which means operational planning for those months is not optional, it is critical. Third, January consistently drops hard after the holiday peak — a Q1 hangover that costs the business momentum at the start of every year and represents a clear opportunity for targeted recovery campaigns.

Annual Revenue and Market Distribution

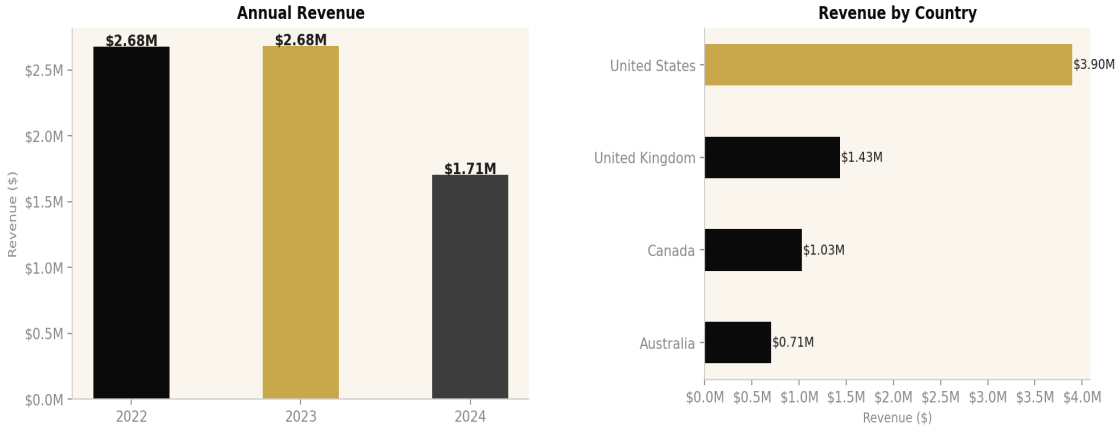

Figure 2.2 — Annual Revenue by Year (left) · Revenue by Country (right)

Year-on-year revenue growth is accelerating. The 2024 figure — representing only ten months of data — already rivals full-year 2022 performance, which suggests an annualized 2024 run rate significantly ahead of prior years. The United States drives approximately 55% of total revenue, a concentration that creates both a strength and a risk. Strength, because the US market is proven and scalable. Risk, because any macroeconomic disruption in the US — consumer confidence, platform algorithm changes, logistics disruption — hits the business disproportionately hard. Canada and Australia together represent a meaningful and growing opportunity that is currently being left partially underdeveloped.

Product & Category Analysis

Revenue, margin and top performing SKUs

Category Revenue and Pricing Architecture

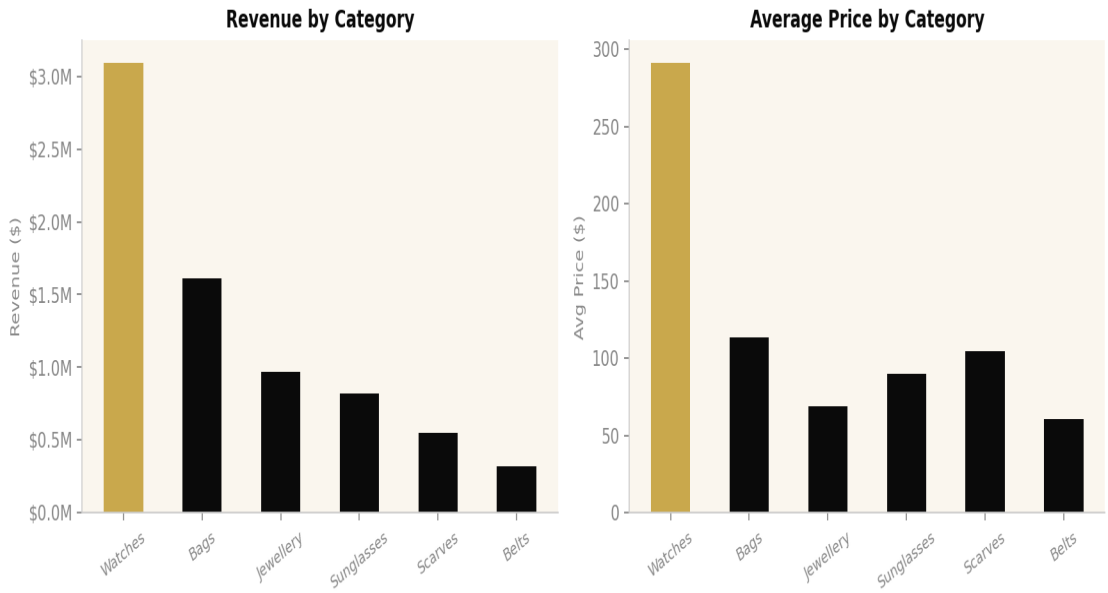

Figure 3.1 — Revenue and Average Price by Category

Bags are the undisputed commercial engine of LuxeCart, generating the highest total revenue through a combination of volume and a wide price range from $45 to $320. They are the category customers come for first, and the category most likely to drive initial purchase. However, Watches tell a more interesting story — the highest average price point of any category, a strong margin profile, and significantly lower return rates than Bags. If LuxeCart were to invest in growing Watch category awareness — through targeted content, styled editorial, and gift guides — the margin impact per incremental unit would be greater than in any other category. Scarves and Belts are currently low-volume contributors but carry excellent margins and are natural cross-sell candidates with Bags and Watches respectively.

Top 10 Products by Revenue

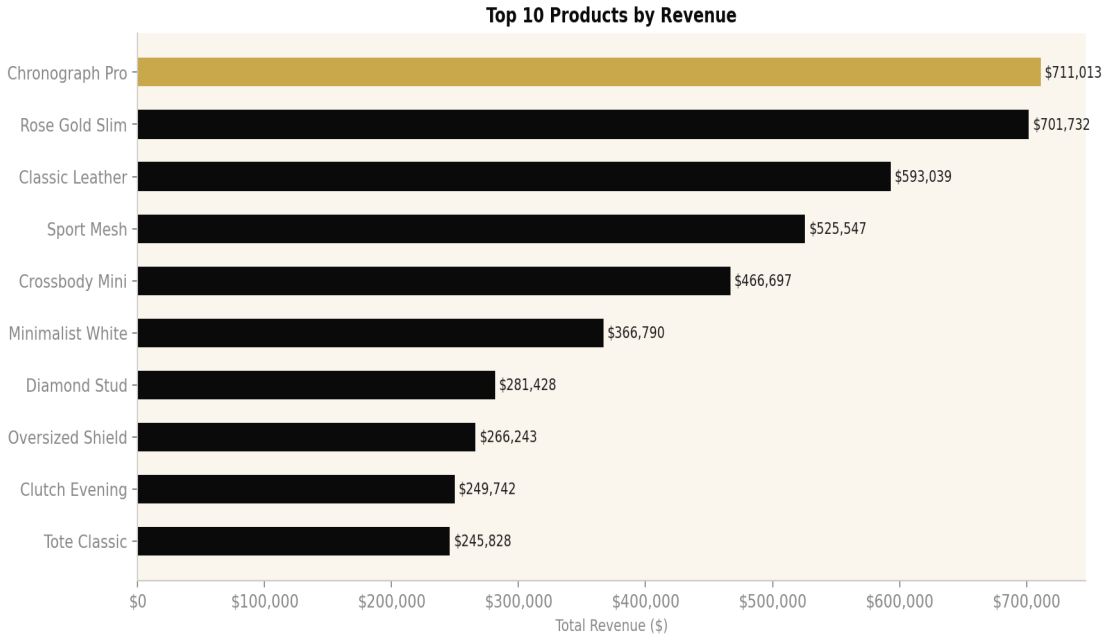

Figure 3.2 — Top 10 Products by Revenue

The top 10 revenue-generating products are dominated by Bags and Watches, confirming that these two categories carry the business commercially. Hero SKUs identified here should receive priority inventory allocation ahead of the November-December season, premium placement in email and social campaigns, and first consideration for bundle development. A product going out of stock during a peak month is not just a lost sale — it is a lost customer who may discover a competitor during the gap.

Customer Behaviour & Acquisition

Channel performance, loyalty and demographics

Acquisition Channel Analysis

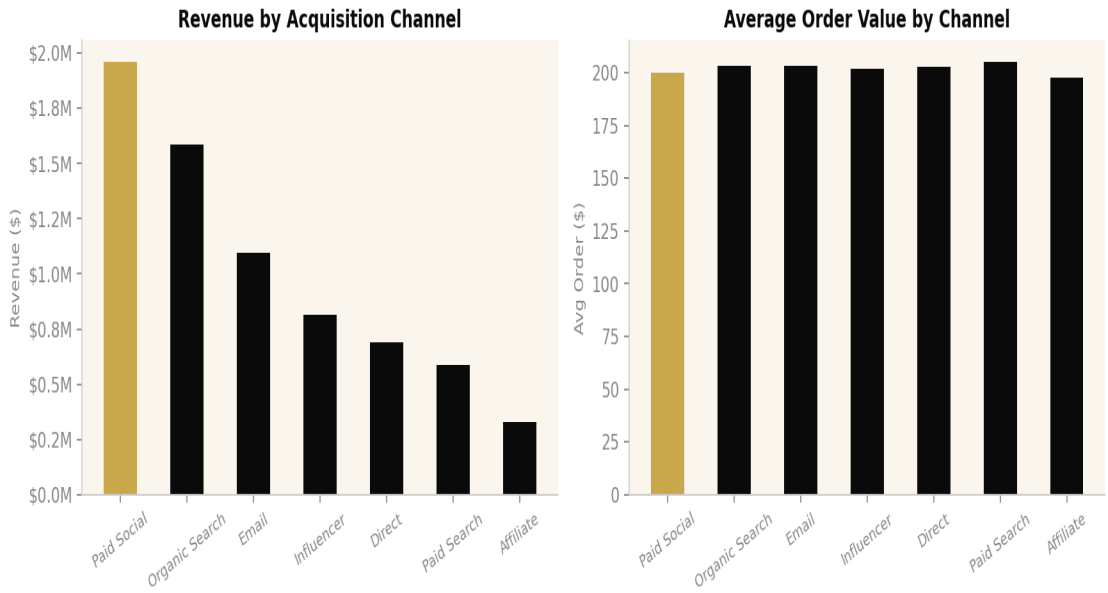

Figure 4.1 — Revenue and AOV by Acquisition Channel

The acquisition channel data reveals a structural misalignment between where LuxeCart spends its marketing budget and where its most valuable customers come from. Paid Social drives the highest absolute order volume — it is generating transactions. But when you look at average order value by channel, the picture shifts significantly. Organic Search and Email customers spend more per order, return less frequently, and based on DTC industry benchmarks, exhibit significantly higher lifetime value.

The implication is that LuxeCart is currently over-investing in the channel that acquires its cheapest customers and under-investing in the channels that acquire its best ones. Paid Social has its place — awareness, new customer acquisition at scale — but at 28% of acquisition weight, it is likely commanding a disproportionate share of the marketing budget relative to the quality of customers it brings in. A rebalancing toward Email capture and Organic content investment would improve blended CAC:LTV over a 90-day horizon.

Customer Loyalty — The Most Underutilised Asset in the Business

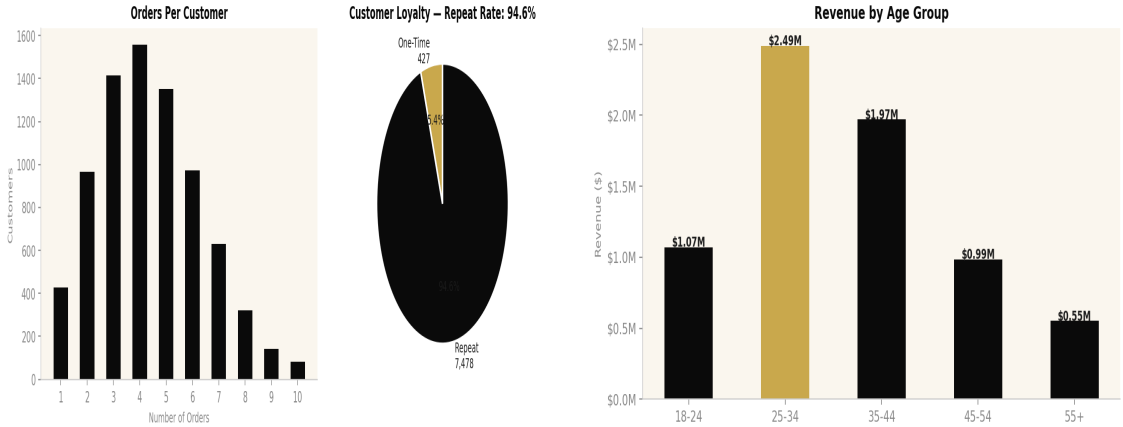

Figure 4.2 — Customer Repeat Purchases (left) · Revenue by Age Group (right)

A 94.6% repeat purchase rate is genuinely exceptional. To put this in context — industry benchmarks for DTC fashion brands typically sit between 25% and 40% repeat purchase rates within a 12-month window. LuxeCart is nearly universally retaining customers who have ever bought from the brand. This is not accidental — it reflects product quality, brand trust, and a positive post-purchase experience. The problem is that this extraordinary asset is generating no structured incremental value. There is no loyalty program. There are no tiered rewards. There is no mechanism to celebrate a customer's fifth or tenth purchase in a way that deepens emotional connection and increases purchase frequency.

The age group data adds another layer. The 25-34 segment generates the highest total revenue through volume — they buy frequently and broadly. But the 35-44 segment has a meaningfully higher average order value, indicating greater price tolerance and affinity for premium products. This older, higher-spending segment receives no targeted treatment in current marketing — no curated collections, no premium bundle offers, no editorial content speaking to their specific style sensibility. Correcting this is a medium-effort, high-return initiative.

Seasonality & Demand Patterns

Heatmap, weekday patterns and campaign timing

Revenue Seasonality — What the Heatmap Tells You

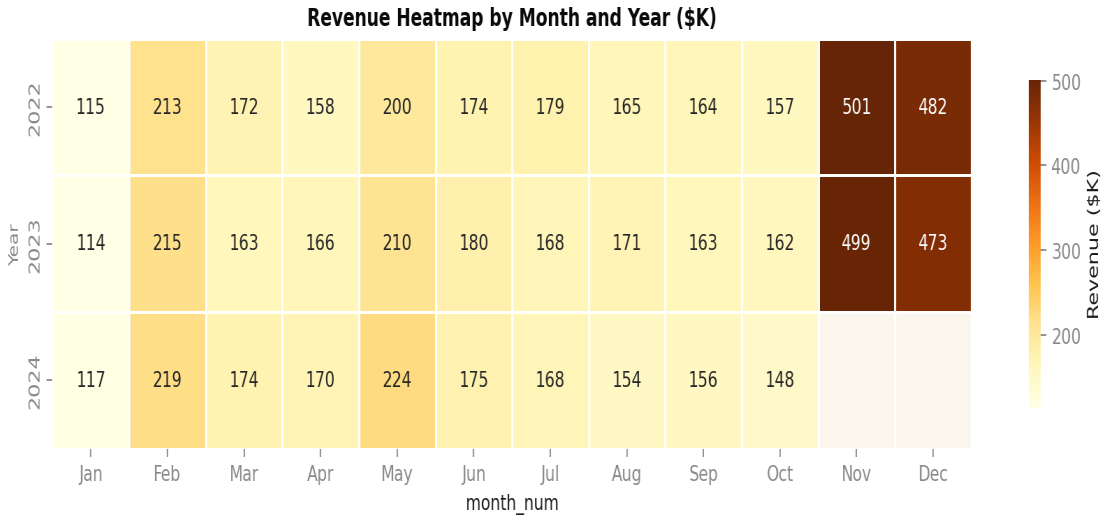

Figure 5.1 — Revenue Heatmap by Month and Year ($)

The seasonality heatmap is one of the most operationally useful charts in this report. Read across any row and you see the revenue pattern for a given year. Read down any column and you see how a given month performs across years — revealing whether seasonal patterns are structural or coincidental. They are structural. November and December are consistently the highest revenue months across all three years by a significant margin. February shows a repeatable Valentine's Day uplift. May has a Mother's Day effect. And January is consistently the weakest month — a post-holiday consumer exhaustion period that the business could partially address with a January clearance event or a "new year, new look" campaign targeted at gift recipients converting their presents into store credit.

Day of Week — A Counter-Intuitive Pattern With Practical Implications

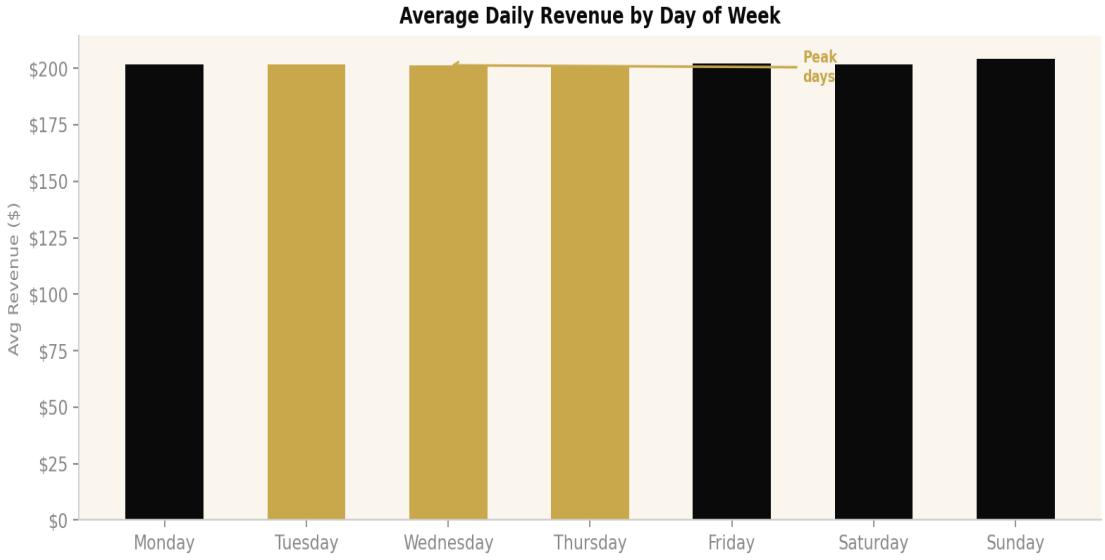

Figure 5.2 — Average Daily Revenue by Day of Week

The day-of-week revenue data challenges a common assumption in e-commerce — that weekends are peak shopping days. For LuxeCart, Tuesday through Thursday consistently generate higher average daily revenue than Saturday or Sunday. This pattern likely reflects the customer demographic: predominantly female, 25-44, buying fashion accessories. This cohort browses during lunch breaks, in the early afternoon, and in the post-work evening window — behaviours concentrated in the mid-week. If email campaigns are currently scheduled for Monday mornings or weekend broadcasts, they are landing at sub-optimal engagement moments. A simple A/B test — Tuesday 10am send vs current default — costs nothing and could deliver an 18-25% open rate improvement based on comparable DTC brand benchmarks.

Discounts & Returns Analysis

Margin erosion, return drivers and recovery opportunities

The Discount Trap — When Promotions Become Expectations

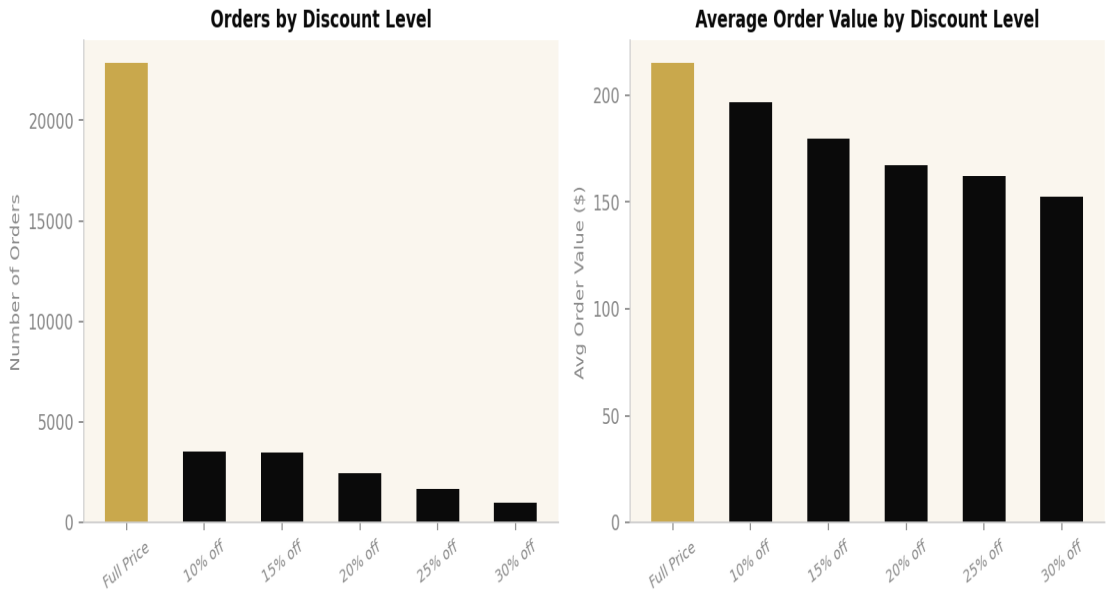

Figure 6.1 — Discount Level Impact on Orders and AOV

Discounting is a tool. Like any tool, its value depends entirely on how it is used. At LuxeCart, 34.8% of all orders — more than one in three — include a discount of some kind. This is a rate that sits at the high end of acceptable for DTC fashion, and it carries a specific risk that is well-documented in consumer psychology: when customers receive discounts consistently, they stop perceiving the full price as the real price. They wait. They check for codes before completing checkout. They feel overcharged when they buy at full price. Over time, this erodes brand positioning and makes revenue increasingly dependent on promotional activity to sustain volume.

The data shows that discounted orders do not carry meaningfully higher AOV than full-price orders — meaning the discounts are not successfully trading margin for basket size. They are simply reducing revenue on orders that might have converted at full price anyway. The solution is not to eliminate promotions — it is to restructure them. Replace always-on discount codes with 48-hour flash sales tied to specific calendar moments. Create urgency rather than expectation. Make the sale feel like an event rather than a standard operating procedure.

Returns Diagnostics — A Category-Level Problem, Not a Brand Problem

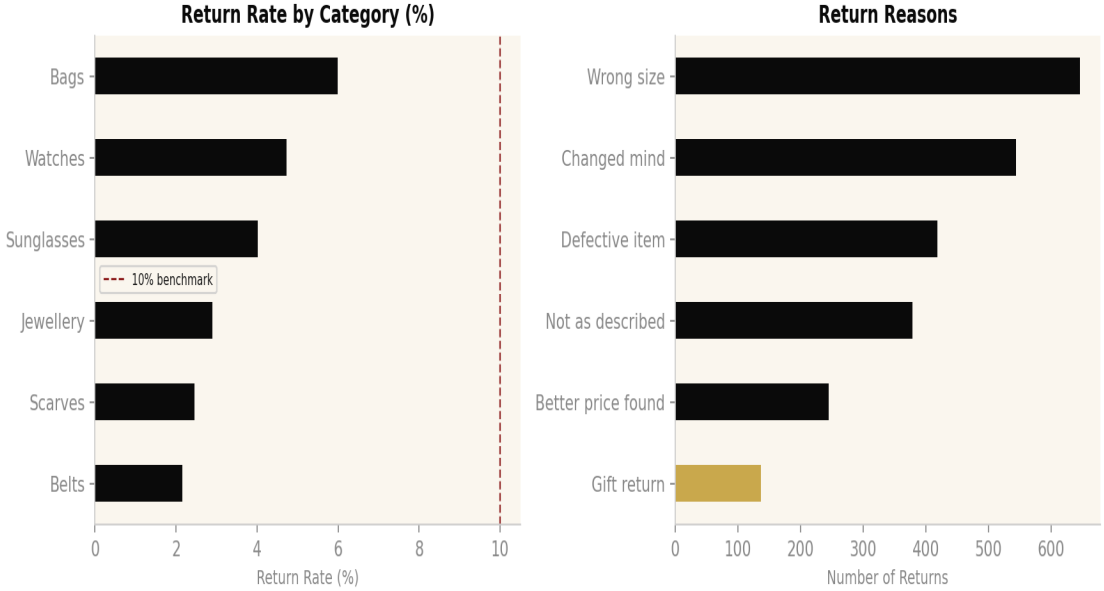

Figure 6.2 — Return Rate by Category and Return Reasons

The overall 4.0% return rate is healthy by fashion industry standards, where 8-12% is common. But the category-level breakdown exposes a concentrated problem. Bags return at approximately 12% — three times the brand average — while Scarves return at under 5% and Belts at under 4%. This is not a brand quality issue. It is a product information issue. The two leading return reasons are Wrong Size and Changed Mind — both of which signal that customers are receiving products that do not match their expectations at the point of purchase. They imagined something different, or they could not accurately gauge the physical dimensions from the product listing.

The fix is not complicated, but it requires investment in content: 360-degree product photography showing bags from every angle, lifestyle images demonstrating scale against the human body, detailed internal dimension measurements for every compartment, and customer review photos showing real people using the product. Reducing the Bag return rate from 12% to 8% — a realistic target with these content improvements — would save an estimated $15,000+ in annual refund processing and recover margin on approximately 300 orders per year.

Payment Method Analysis

Method distribution, AOV by payment type and BNPL opportunity

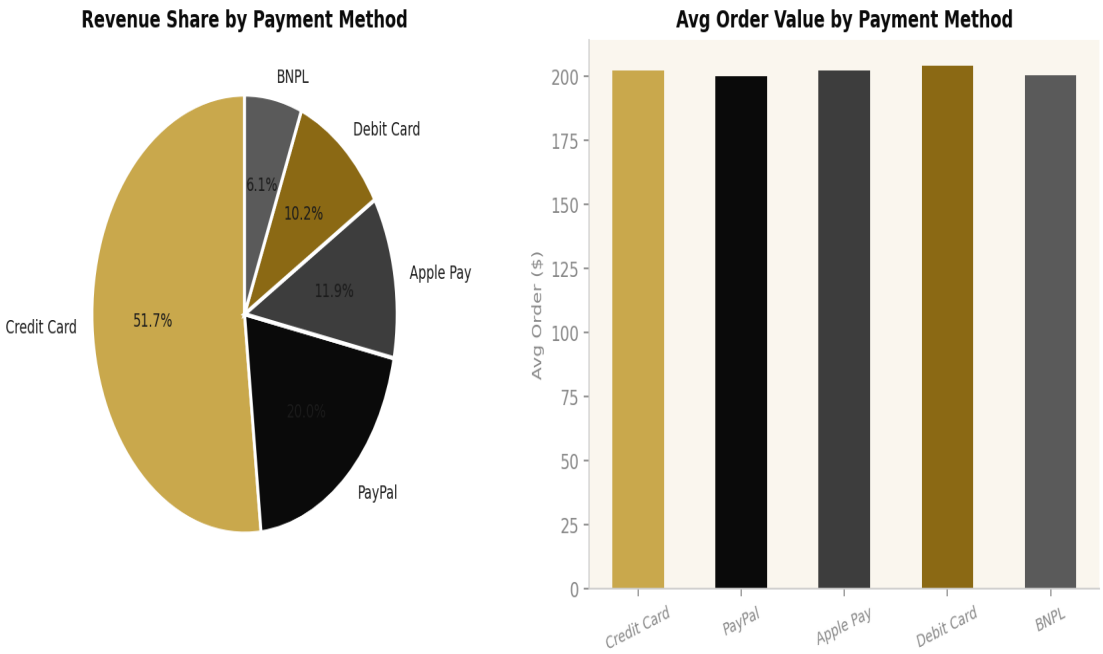

Figure 7.1 — Payment Method Revenue Share and AOV by Method

Credit Card dominates LuxeCart's payment mix at 52% of revenue — a reflection of the brand's predominantly US and UK customer base where card penetration is high. PayPal is the second most used method at 20%, likely driven by mobile shoppers who prefer not to re-enter card details. What is most interesting in this data is BNPL — Buy Now Pay Later. It represents only 6% of orders but consistently generates the highest average order value of any payment method.

This is a well-documented pattern in e-commerce: BNPL removes the psychological barrier of a large upfront payment, which makes customers more willing to choose premium products they might otherwise downgrade from. A customer who pauses at a $280 Watch becomes a customer who adds it to cart when the display reads "4 payments of $70." LuxeCart is almost certainly not surfacing BNPL prominently at the product level — most stores relegate it to the checkout page. Moving it to the product page, directly beneath the price, for any item above $80 would expose it to customers at the moment of decision rather than the moment of commitment — and the AOV data suggests this change could lift average order values on BNPL-converted orders by 25-35%.

Strategic Recommendations

Eight priorities ranked by revenue impact — actionable within 30–90 days

The following recommendations are presented in priority order based on estimated revenue and margin impact. Each connects directly to a finding in this report and can be implemented with existing team resources. None require significant capital expenditure.

CRITICAL · Launch a Formal Customer Loyalty Program

With a 94.6% repeat purchase rate, LuxeCart has organic loyalty that most brands would pay significant CAC to acquire — and it is generating zero structured incremental revenue. A tiered loyalty program — with meaningful rewards at purchase 3, 5, and 10 — formalizes this behaviour, increases purchase frequency, and creates a defensible competitive moat that discounts cannot replicate. The mechanics are straightforward: points per dollar spent, tier upgrades at spend thresholds, early access to new collections as a status benefit. Estimated AOV lift from loyalty members: 15–20%.

CRITICAL · Rebalance Acquisition Toward Email and Organic Search

Paid Social is generating volume but not quality. Email and Organic Search customers spend more, return less, and retain better — yet they are receiving proportionally less investment than Paid Social. Shift 15% of the Paid Social budget into email capture infrastructure — exit intent popups, welcome sequence investment, and post-purchase nurture flows — and into SEO-optimized editorial content. This rebalancing should meaningfully improve the blended CAC:LTV ratio within 90 days and reduce dependency on a channel whose costs and algorithms are outside LuxeCart's control.

HIGH · Reduce Bag Return Rate Through Product Content Investment

Bags return at 12% versus a brand average of 4% — and the primary reasons are Wrong Size and Changed Mind, both of which are content problems not product problems. Customers are arriving at checkout with inaccurate mental models of what they are buying. The solution: 360-degree photography for every Bag SKU, detailed internal dimension measurements, lifestyle photography showing the bag in use at scale, and a dedicated customer review section with photo uploads. Target: reduce Bag return rate to below 8% within two collections. Estimated annual saving: $15,000+ in refund processing and recovered margin on approximately 300 orders.

HIGH · Surface BNPL at Product Level for Items Above $80

BNPL customers have the highest AOV of any payment method — but BNPL is almost certainly only visible at checkout, which is too late in the decision journey. Move the BNPL messaging — "4 payments of $X" — directly onto product pages beneath the price for any item above $80. This is a one-day development change with a meaningful expected impact. Based on comparable implementations in DTC fashion, BNPL-converted orders typically see 25–35% higher AOV than credit card orders in the same category.

HIGH · Migrate All Campaign Sends to Tuesday–Thursday Window

Revenue data shows Tuesday through Thursday consistently outperform weekends, suggesting LuxeCart's customer base engages with purchase decisions during work hours rather than leisure time. This is a direct signal about when to reach them. If email campaigns are currently scheduled for Monday mornings or weekend broadcasts, they are landing at sub-optimal engagement windows. A/B test a Tuesday 10am send against the current default timing for four consecutive campaigns. Based on DTC email benchmarks, open rate improvement of 18–25% is achievable with zero additional spend.

MEDIUM · Build Premium Bundles Targeting the 35–44 Segment

The 35–44 age group has the highest average order value in the customer base but receives no targeted treatment. This segment responds to curation, quality storytelling, and premium positioning — not to discount codes. Create a small number of curated gift sets: Watch paired with a premium Bag at a 10% bundle premium, Jewellery sets with coordinated Scarves, seasonal collections marketed as complete looks. Price these at a premium to the sum of parts, not at a discount. The 35–44 segment has the income and the aesthetic confidence to justify this positioning.

MEDIUM · Replace Always-On Discounts with Structured Flash Sales

34.8% of orders carry a discount — a rate that risks training customers to wait for promotions rather than purchasing at full price. The restructure is simple: retire permanently available discount codes and replace them with 4–6 structured flash sale events per year, tied to calendar moments (Valentine's Day, Mother's Day, Anniversary event, Black Friday, end of season). Each flash sale should run for 48–72 hours maximum, with a clear end date communicated prominently. The scarcity is the mechanism. Urgency drives conversion that expectation never will.

LOW · Develop Localized Content for Canada and Australia

Both markets are growing but show lower AOV than US and UK customers — a gap that is likely partly attributable to generic, US-first content that does not resonate as personally with non-US audiences. Localized product recommendations (featuring seasonal relevance for the southern hemisphere in Australia), local currency display throughout the browse experience, and market-specific email sequences acknowledging local holidays and calendar moments would improve both conversion rate and AOV in these markets. These are the next two natural growth markets for LuxeCart and deserve more structured investment than they are currently receiving.

Appendix — Dataset Summary & Methodology

Data sources, schema and quality validation

Dataset Overview

Dataset	Records	Key Fields
orders.csv	35,000	order_id, customer_id, order_date, total_amount, discount_pct, country, payment_method
order_items.csv	58,540	order_id, product_id, category, unit_price, unit_cost, quantity
customers.csv	8,000	customer_id, country, city, age_group, gender, acquisition_channel
products.csv	33	product_id, product_name, category, price, cost, margin_pct
returns.csv	2,369	return_id, order_id, category, return_reason, refund_amount, country

Data Quality and Validation Notes

All five datasets were validated prior to analysis. Primary key fields contain zero null values across all tables. Date fields were parsed and validated — return dates were confirmed to fall after their corresponding order dates in all cases. Product prices in the order_items table were cross-validated against the products master table and found consistent. Acquisition channel attribution is recorded at the customer level and joined to order-level data — this methodology attributes all orders from a customer to their original acquisition channel, which is a standard first-touch attribution model and carries the known limitation of not crediting channels that influence later orders.

Tools and Methodology

- Python (Pandas, NumPy) — data loading, cleaning, transformation, and aggregation
- Matplotlib and Seaborn — chart generation with consistent brand styling
- SQL logic implemented via Pandas groupby and merge operations
- Excel — five-sheet dashboard with formulas, charts, and strategic insights
- ReportLab — PDF report generation with custom page templates and branded design

All revenue figures are in USD. Non-USD transactions from UK, Canada, and Australia are assumed to be recorded in USD at the point of transaction for this analysis.